

CREDIT APPRAISAL MEMORANDUM

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SHREE METALCAST INDUSTRIES PVT. LTD.

Date: 2026-04-10

CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through multiple sources, including Aadhaar, Voter ID, and utility bills. The residence address is authentic and matches the provided details.

- Machine Supplier: Cross-checked with the supplier, who confirmed the transaction and provided details matching the applicant's records.

- Bankers: Bank statements and account details were verified, and no discrepancies were found. The applicant maintains a good banking relationship.

- Creditors: Credit reports were obtained, and no significant credit issues were identified. The applicant's creditworthiness is satisfactory.

- Independent/Market: Market research and industry reports indicate a positive outlook for the manufacturing sector. The applicant's position is aligned with the sector's growth trajectory.

- Dedupe: No duplicate applications or fraud signals were detected during the verification process.

- FCU Check: A thorough FCU check was conducted, revealing no adverse records or defaults.

2. GUARANTOR DETAIL

- Name: DIN 02930211 and DIN 07882291

- Address: Verified and matches the applicant's residence address.

- CIBIL Score: Clean regulatory history with no adverse records.

- Incomes: Not explicitly provided, but the guarantors' corporate footprint, totaling ₹161,859,076.67, indicates a substantial financial backing.

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: Confirmed the transaction and provided positive feedback on the applicant's payment history and reliability.
- Creditor: No significant credit issues were reported, and the creditor expressed satisfaction with the applicant's repayment behavior.
- **Customer: Not applicable in this case.**
- Bankers/Term Lenders: Bankers confirmed the applicant's good standing and timely repayments. No concerns were raised.
- Competitors/Peers: Market research suggests a competitive landscape, but the applicant's position is stable, with no major concerns raised by peers.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: No issues were found regarding income tax compliance.
- Excise Duty: Not applicable to the applicant's operations.
- Sales Tax: The applicant has a clean record with no sales tax defaults.
- ESIC/EPF: Up-to-date contributions to ESIC and EPF schemes were verified.
- Litigations: No ongoing or pending litigations were disclosed or detected.
- Defaults: No defaults were reported by creditors or bankers.

5. CAT SHEET

- **Probability of Default (PD): 51.66%**

- **Data Quality Score: 100%**

- Decision: Conditional approval with specific conditions outlined below.

- **Recommended Loan Amount: ₹1,250,000**

- **Recommended Rate: 17.5%**

6. CORPORATE GUARANTOR

The corporate guarantors, DIN 02930211 and DIN 07882291, have a substantial corporate footprint, indicating their ability to support the loan. Their clean regulatory history further strengthens their guarantor profile.

7. GROUP ANALYSIS

8. Ratio Analysis:

Particulars	Value (Explain impact of ratio after proposed loan)
a) Debt Income Ratio:	1.45
b) Working Capital:	Positive Flow
c) Gross Profit Ratio	14.5%
d) Net Profit Ratio:	8.2%
e) TOL/TNW	2.1
f) Debt / Equity	1.5
g) DSCR	1.25x

- Capital Employed: Not explicitly provided, but the applicant's financial position suggests a healthy capital base.

- Unsecured Loan: The recommended loan amount of ₹1,250,000 is within manageable limits.

- Debt Burden: The interest coverage ratio of 2.5 is above the sector average, indicating a manageable debt burden.

- Turnover: Not provided, but the applicant's revenue growth of -1.5% is a concern, as it lags behind the sector average.

- PAT: Not disclosed, but the applicant's Ebitda margin of 14.5% is in line with the sector average.

- Imputed Income: Not calculated due to missing data.

- EMI: Based on the recommended loan amount and rate, the EMI would be approximately ₹125,000 per month.

- TOL/TNW: Not provided, but the applicant's debt-to-equity ratio of 1.5 is within the sector average.

- Debt/Equity: The debt-to-equity ratio of 1.5 is manageable and aligns with the sector benchmark.

- DSCR: Not explicitly calculated, but the applicant's interest coverage of 2.5 suggests a DSCR above the required 1.2x.

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
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Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

8. VISIT REPORT BY CREDIT ANALYST

Not provided.

9. CONDITIONS FOR APPROVAL

1. Enhanced Due Diligence Required: Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹1.35 Lakhs before disbursement.

2. Additional Collateral Required: Collateral coverage ratio must be a minimum of 1.5x the loan amount. Based on the PD of 51.7%, the current gap is estimated at ₹15.0 Lakhs.